Progress & Poverty INSTITUTE A PRIMER FOR CITIES

TAX LAND MORE. TAX BUILDINGS LESS.

A land value tax shifts the property tax off buildings and onto the land beneath them. Same revenue, better incentives.

ONE PROPERTY, TWO WAYS TO TAX IT

TODAY

One rate on land and building

land | building | tax bill

LAND VALUE TAX

Higher rate on land, lower on buildings

land | building | tax bill

The city raises the same total. Each owner's bill depends on how much of their property's value is land.

WHY SHIFT THE TAX?

Stop taxing what we want more of

Today, building, adding a unit, or fixing up a home raises its owner's bill. Untaxing buildings rewards that work.

Return the value the community creates

Land is valuable because of transit, schools, jobs, and neighbors nearby, not because of anything its owner did.

A tax that can't move or hide

Land can't leave town or be hidden offshore, and taxing it doesn't make less of it. That makes the tax hard to dodge.

Idle land stops paying off

Holding a vacant lot or surface parking for a price rise costs more. Putting land to good use costs less.

WHAT THE RESEARCH FINDS

Pennsylvania cities have taxed land more than buildings for decades. Studies of them find:

+14%

more new homes a month in Pittsburgh from a 5% cut in its building tax rate.

Bourassa, Growth and Change, 1987

6–8 points

faster growth in housing units per decade in two-rate towns than in similar one-rate towns.

Yang, Lincoln Institute of Land Policy, 2014

+1.6%

more construction value for each mill of gap between the land and building rates, across 15 two-rate and 204 one-rate towns.

Plassmann & Tideman, Journal of Urban Economics, 2000

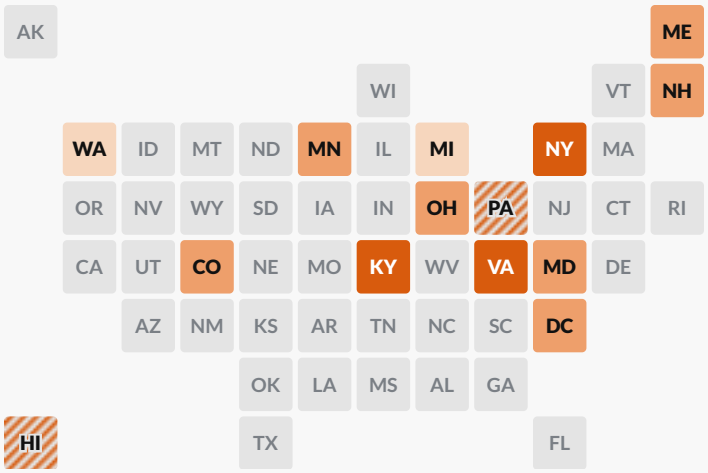
2–10 points

faster growth in housing density in the first decades after adoption, with no growth in house size.

Banzhaf & Lavery, Journal of Urban Economics, 2010

Effect sizes vary by study, city, and how wide the gap between the two rates is. Full citations at the web address on the back.

WHERE STATES STAND



- **Passed recently:** Kentucky, New York, and Virginia
- **Allowed for decades:** Hawaii and Pennsylvania
  In Pennsylvania, fewer than a dozen places still use it, including Harrisburg and Allentown.
- **Bills considered:** Colorado, District of Columbia, Maine, Maryland, Minnesota, New Hampshire, and Ohio
- **Emerging interest:** Michigan and Washington

Abroad, Denmark, Estonia, and Australia's states tax land value today.

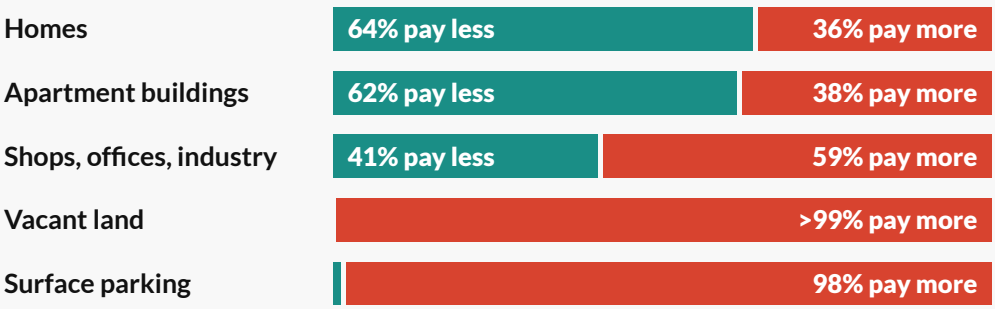
Map after the Center for Land Economics' LVT legislation tracker, landeconomics.org/lvt-legislation, updated October 29, 2026.

WHO PAYS MORE? WHO PAYS LESS?

We modeled a revenue-neutral shift, with land taxed at four times the building rate, for **1.9 million properties in 23 U.S. cities** using LVTShift, the Center for Land Economics' free, open-source toolkit.

In most cities, most homes pay less, and nearly every vacant lot and parking lot pays more.

In the typical city, share of each kind of property whose bill falls rises



64%
of homes pay less in the typical city. Most do in 16 of 23 cities.

+131%
a typical vacant lot's bill. Up in every city.



Rule of thumb: a property pays more only if land is a bigger share of its value than is typical in its city, as with empty lots, parking, and big lots with small buildings.

Is it progressive? It depends on the city. Homes in lower-income neighborhoods did better than those in higher-income ones in 14 of 23 cities, and worse in the rest.

DOING IT IN YOUR CITY

1 Find the legal path

Check your state's uniformity clause and whether state law allows separate rates. Many cities need new state law.

2 Get land values right

A split rate leans on the assessor's land values. Test them against vacant-lot sales, and fix them first.

3 Model who wins and loses

Run a parcel-by-parcel, revenue-neutral analysis by property type and neighborhood. The LVTShift toolkit does this.

4 Check that it's fair

Compare bills by neighborhood income. Phase-ins, homestead exemptions, and deferral can ease the change.

5 Map the landscape

Likely fans: homeowners, renters, builders, housing and transit groups. Likely skeptics: owners of vacant and underused land.

COMMON QUESTIONS

Is it a tax increase? No. Rates are set to raise the same total; what changes is who pays.

All at once? No. Cities can widen the gap between the rates over several years.

What about seniors? Homestead exemptions, circuit breakers, and deferral still apply.

Passed on to renters? Land can't move or multiply, so its owner bears the tax. Danish home prices absorbed it in full.

WHO SUPPORTS IT

Support comes from left, right, and center.

ECONOMISTS

- **Joe Gyourko** · Wharton, 2026 *"we should tax land much more than structure"*
- **Niskanen Center** · think tank
- **James Hohman** · Mackinac Center, 2023

LABOR & BUSINESS

- **ATU Local 689** · DC-area transit union, 2025
- **Detroit Regional Chamber** · Detroit's plan, 2023
- **Metro Detroit Black Business Alliance** · Detroit's plan, 2023
- **Chicago DSA** · party platform

LAWMAKERS & PRESS

- **Virginia General Assembly** · HB 282, 2026
- **Kentucky General Assembly** · HB 607, 2026
- **Sen. Louis Blessing III** · Ohio Republican, 2026
- **Pittsburgh Post-Gazette** · editorial board, 2025 *"Land taxes encourage building."*

FROM HISTORY

- **Adam Smith** · 1776 *"Ground-rents are a still more proper subject of taxation"*
- **Winston Churchill** · 1909

PROGRESS AND POVERTY INSTITUTE

A nonprofit foundation. We research and publish on land economics and land value taxation, and we host public conversations on these same topics.

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Sources and full citations